

an *imaginary* appreciation of an *intangible* asset—the asset being in reality a *liability*, the enhancement being related to a *previous* period and the proper effect of the appreciation, if it had occurred, being to *reduce* the subsequent realized earnings by virtue of higher amortization charges.

The federal-income-tax check, described in the Park and Tilford example, will also give interesting results if applied to United Cigar Stores as shown in the table below.

Moral Drawn from Foregoing Examples. A moral of considerable practical utility may be drawn from the United Cigar Stores example. When an enterprise pursues questionable accounting policies, *all* its securities must be shunned by the investor, no matter how safe or attractive some of them may appear. This is well illustrated by United Cigar Stores Preferred, which made an exceedingly impressive statistical showing for many successive years but later narrowly escaped complete extinction. Investors confronted with the strange bookkeeping detailed above might have reasoned that the issue was still perfectly sound, because, when the overstatement of earnings was corrected, the margin of safety remained more than ample. Such reasoning is fallacious. You cannot make a quantitative deduction to allow for an unscrupulous management; the only way to deal with such situations is to avoid them.

Year	Federal tax reserve	Income before tax		
		A. Indicated by tax reserve	B. Reported to stockholders	C. Reported to stockholders less leasehold appreciation
1924	\$700,000	\$5,600,000	\$7,397,000	\$6,149,000
1925	825,000	6,346,000	9,638,000	8,343,000
1926	900,000	6,667,000	10,755,000	8,453,000
1927	900,000	6,667,000	10,852,000*	8,415,000*
1928	700,000	5,833,000	9,053,000	9,053,000
1929	13,000	118,000	3,132,000†	3,132,000†
1930	none	none	1,552,000	1,552,000

* Eliminating tax refund of \$229,000 evidently applicable to prior years.

† This is also reported as \$2,947,000, after an adjustment.